



R E A L E S T A T E

THE ULTIMATE FIRST TIME HOMEBUYER'S GUIDE

By Kyle Friedman & The Friedman
Team at Exp Realty

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FINANCIAL READINESS & BUDGETING

For First Time Homebuyers in Maryland

Before you start touring homes, it's essential to understand your financial picture. This section walks you through upfront costs, credit scores, and how to set a realistic budget you can feel confident about.

How Much Do You Need to Buy a Home in Maryland?

Upfront Costs Explained

Down Payment

While 20% avoids PMI, most firsttime buyers in Maryland put down just 35%

Closing Costs

Budget 25% of the purchase price to help cover transfer taxes, recordation fees & title insurance in Maryland

Cash Reserves

Lenders want to see 13 months of mortgage payments in savings after closing

Maryland Mortgage Program (MMP)

Eligible first time buyers can receive up to \$6,000 or 5% of the loan as a 0% interest deferred second loan for down payment assistance. Ask your agent about qualifying.





CREDIT SCORES & BUDGETING

What Credit Score Do You Need to Buy a House?

Your credit score directly impacts your interest rate and loan options. Here's what lenders are looking for:

740+

Best Rates & Terms

Aim here for the most competitive mortgage options

680-739

Good Standing

Most conventional loans are accessible at this range

620-679

FHA Eligible

FHA loans available; rates may be higher

Below 620

Improve First

Focus on credit building strategies before applying

Quick tip: Pay revolving balances below 30% utilization and avoid opening new credit lines in the 6 months before applying.

How Much House Can I Afford? Using the 28/36 Rule

See It in Action

With a gross monthly income of \$7,000/month, here's how the rules apply:

Max Mortgage Payment

\$1,960/month

28% of \$7,000

Max Total Monthly Debt

\$2,520/month

36% of \$7,000

These guardrails protect you from becoming "house poor" owning a home but stretched too thin to enjoy it. Your buyer's agent and lender will help you dial in a number that feels right.



PREAPPROVAL & LOAN TYPES

How to Get PreApproved for a Mortgage in Maryland

Preapproval is the step that transforms you from a casual browser into a serious, credible buyer. In Maryland's competitive market, it's not optional it's essential.

PreQualification vs. PreApproval: What's the Difference?

PreQualification
A quick estimate based on selfreported information. Useful for ballpark budgeting, but carries little weight with sellers in a competitive market.

PreApproval
A verified, lenderissued letter after reviewing your income, assets & credit history. This is what makes sellers take you seriously.

In a competitive Maryland market, a preapproval letter is essentially your ticket to tour homes. Without it, many sellers' agents won't even schedule a showing.

Mortgage Loan Types for First Time Buyers

FHA, VA, USDA & Conventional Explained

Documents You'll Need
2 years of tax returns & W2s
2 months of bank statements
Recent pay stubs
Governmentissued photo ID

Which Loan Is Right for You?

Loan Type	Min. Down	Best For
Conventional	320%	Strong credit buyers
FHA	3.5%	First timers, credit 580+
VA	0%	Veterans & active military
USDA	0%	Rural/suburban MD areas





FINDING YOUR HOME & MAKING AN OFFER

How to Find a Home & Make a Competitive Offer in Maryland

With your preapproval in hand, the real adventure begins. This section covers how to search smart, avoid emotional pitfalls, and craft an offer that wins without overpaying.

Home Buying Checklist: Identify Your Needs vs. Wants

Needs (NonNegotiables)

These are the criteria a home must meet. Be firm here.

- Number of bedrooms
- School district quality
- Commute distance
- Accessibility features (if needed)
- Budget ceiling

Wants (Nice to Haves)

Great to have but won't make or break the purchase.

- Home office or bonus room
- Updated kitchen or bathrooms
- Large yard or outdoor space
- Attached garage
- Specific neighborhood vibe

Ranking your list prevents emotional decisions and keeps your search focused, especially when you walk into a gorgeous home that ticks your "wants" but misses on your "needs."





YOUR BUYER'S AGENT & MAKING OFFERS

Why You Need a Buyer's Agent in Maryland

Fiduciary Duty to YOU

A buyer's agent is legally obligated to represent your best interests not the seller's.

Seller Already Has Representation

The listing agent's goal is to get the seller top dollar. You deserve someone on your side.

Typically Free to You

In most transactions, the seller pays both agents' commissions expert help at no cost.

Kyle Friedman | The Friedman Team | eXp Realty

Neighborhood expert, problem solver, and your dedicated realtor from search to closing in Maryland.

How to Make a Competitive Offer in Maryland

Earnest Money Deposit (EMD)

A goodfaith deposit of typically 13% of the purchase price, held in escrow. It signals to the seller that you're serious and financially committed.

Offer Price Strategy

Based on comparable sales, days on market & local demand. Your agent will analyze the data and guide you to a competitive yet smart number.

Protective Contingencies

Inspection, financing & appraisal contingencies are your safety net they allow you to exit or renegotiate if something unexpected comes up.

The Winning Formula

A strong offer balances price, terms & speed not just the highest number. Sometimes clean terms beat a higher offer.



UNDER CONTRACT TO CLOSING DAY

What to Expect in Maryland

You're under contract congratulations! Now comes the critical stretch between accepted offer and the moment you receive your keys. Here's what happens and what to watch for in Maryland.

Home Inspection vs. Appraisal: What First Time Buyers Must Know

Home Inspection

Your personal due diligence check a licensed inspector examines the structure, systems, roof, electrical, plumbing & more. Results can be used to negotiate repairs or credits.

Home Appraisal

Ordered by your lender to confirm the home's market value supports the loan amount. If the appraisal comes in low, your contingency protects you.

Maryland Specific Inspections to Add

Radon Test

Common in Maryland basements. Always add a radon test (~\$150) it's inexpensive protection against a serious health risk.

Termite / WDI Inspection

Wood destroying insect inspections are standard and often lender required in Maryland.

Well & Septic Inspection

Required in Northern Harford & Cecil County ensures clean water supply and a fully functioning waste system.

What Happens at Closing?

Escrow, Title Search & Closing Day in Maryland Explained

Most Maryland closings take 12 hours. Once all documents are signed and funds are transferred, the home is officially yours. Come prepared, stay calm, and celebrate you've earned it.

MORTGAGES THAT MEAN MORE

“👋, Ask me about Impact Lending.”

OUR PREFERRED LENDER

Why Our Preferred Lender Makes All the Difference

Simplify Your Home Loan Journey with Anthony Poulin

Anthony Poulin

Movement Mortgage | NMLS #2690068

Looking to Buy Your First Home with Confidence?

Buying a home is exciting, but financing can feel overwhelming. That's why we recommend Anthony Poulin with Movement Mortgage.

Anthony is dedicated to helping homebuyers understand their options, navigate the mortgage process with confidence, and feel supported every step of the way. From preapproval to closing, his goal is to make financing simple, transparent, and stressfree.

Why Choose Anthony Poulin?

Personalized Guidance

Every buyer's financial situation is different. Anthony takes the time to understand your goals and helps match you with loan options that fit your needs.

Clear Communication

Questions are always welcome. You'll receive straightforward answers, regular updates, and guidance throughout the entire mortgage process.

FirstTime Buyer Expertise

Whether you're using conventional financing, FHA, VA, or exploring down payment assistance programs, Anthony helps you understand your options.

Smooth Closings

Our team works closely with Anthony to help keep transactions organized, on schedule, and moving toward a successful closing.

Anthony Poulin
Producing LOA
184 Duke of Gloucester St ste 1b, Annapolis, MD 21401
NMLS # 2690068
State License #CO100546000, MD2690068, PA119038, VAMLO73975VA
p: (571) 4744794
Send Email to





START HERE: FREE STRATEGY SESSION

Ready to Buy Your First Home in Maryland?

Buying your first home in Maryland is one of the most significant decisions of your life and you don't have to figure it out alone. The Friedman Team at eXp Realty specializes in helping firsttime homebuyers in Maryland navigate the process, protect their interests, and get into the right home at the right price.

Kyle Friedman

The Friedman Team | eXp Realty



FRIEDMAN

exp
REALTY

Call or Text

4437893101

Email Kyle

Kyle@friedmanreteam.com

Ready to start your Maryland homebuying journey? Contact Kyle today for your free homebuyer strategy session no pressure, no obligation, just expert guidance tailored to you.

